Fertility and Housing Costs

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Abstract

Housing costs are often blamed for low fertility, with proposed remedies ranging from easier mortgage credit to housing supply interventions. I study the potential for policies to raise fertility in a lifecycle model in which households choose whether and when to have children, how much space to occupy, and whether to rent or own. Children increase the need for a bigger house, buying requires a down payment, and earnings are subject to uninsurable idiosyncratic risk. I calibrate the model to the United States in 2007, estimate changes in fertility preferences to match the subsequent decline in birth rates, and treat 2023 as a point on a transition to a smaller population.

First, I show that earnings risk can substantially discourage childbirth: reducing the standard deviation of earnings shocks by about a quarter raises completed fertility by 16 percent, consistent with precautionary behavior and the commitment to ongoing spending on children. I then investigate how earnings risk interacts with housing costs and financial constraints. Starting from the 2023 economy, a 10 percent expansion of housing supply raises completed fertility by about 5 percent for the cohort entering adulthood, with persistent effects for later cohorts. Removing down-payment requirements produces an increase in births of about 2 percent on impact, but has little effect on completed fertility: it mostly affects the timing of births, and encourages ownership of small homes which potentially dissuade further natality. However, the same credit expansion restricted to parents raises completed fertility by about 6 percent. The results highlight the difference between helping households buy a home and helping them sustain the cost of the space children require.